Flash Tech Report: Tokenization Signals Business Opportunities

14 June 2024 - ID G00811601 - 8 min read

By: Jorge Lopez, Tsuneo Fujiwara, Mordecai ., Stephen Smith

Initiatives:Innovate with Emerging Technologies Adoption; CIO Management of Technology; Executive Leadership; Integrate Technology to Achieve Business Outcomes

Our sentiment analysis of social media conversations among CIOs in the past quarter shows that tokenization is a top area of interest for global enterprises, especially in financial services. Executive leaders should explore business opportunities and potential risks associated with tokenization.

Overview

Key Findings

- Conversations between CIOs on social media in 2024 show an increase in the discussion of tokenization as a disruptive tool to “democratize investing” by improving market liquidity, reducing corruption and bridging the gap between traditional finance and crypto markets, as well as key development in the finance and real estate sectors.
- Sentiment of CIO social media conversations surrounding tokenization shows a strong upward trend, and is highly positive in 1Q24, but has not yet reached the CEOs.
- Risks associated with tokenization come from (a) centralization of implementation and (b) concerns about regulatory compliance. Unlike traditional financial markets, tokenization often lacks investor protection mechanisms such as regulatory oversight, insurance or dispute resolution mechanisms, and exposes investors to higher levels of risk and potential fraud.

Recommendations

Executive leaders aiming to prepare for the disruptive impact of tokenization should:

This research note is restricted to the personal use of 288048F@curtin.edu.au.

- Explore use cases that solve real-world business problems by paying attention to efforts underway in financial services with the potential to transform real estate to have an intelligent conversation with CEOs.
- Limit risks by adopting products that can simplify the exchange of value and integrate with a wider range of partners.

Strategic Planning Assumption

By 2025, tokenization will start reshaping industries thanks to digital assets improving access to funding and creating new value exchanges.

Introduction

Tokenization entered the Trough of Disillusionment in our Hype Cycle for Blockchain and Web3 in 2023 (see Hype Cycle for Blockchain and Web3, 2023). However, we expect rapid progress on the curve in 2024 toward the Plateau of Productivity, based on the highly positive sentiment of social media conversations among CIOs in 1Q24.

Executive leaders and CIOs should use Gartner's Digital Business Asset Taxonomy (see Define and Map Cryptocurrencies, Digital Currencies and NFTs to Future-Proof Your Digital Transformation) to drive revenue opportunities and other strategic tokenization use cases based on their business context.

Our social media conversations data among CIOs made no differentiation between various types of tokens, but end-user organizations should ensure they create strategies by carefully considering the different contexts for tokenization. The potential rise in recent interest is "probably" not connected to the use of data/ID/payment tokens, but rather interest in blockchain-based forms of digital money, i.e., cryptocurrencies, real-world assets (RWAs) and decentralized finance (DeFi). End-user executive leaders and CIOs, therefore, need to position future investments to prepare for higher levels of adoption or numbers of use cases being developed for these kinds of tokens (i.e., not data/ID/payment tokens).

Analysis

Explore Tokenization Use Cases That Solve Real-World Business Problems

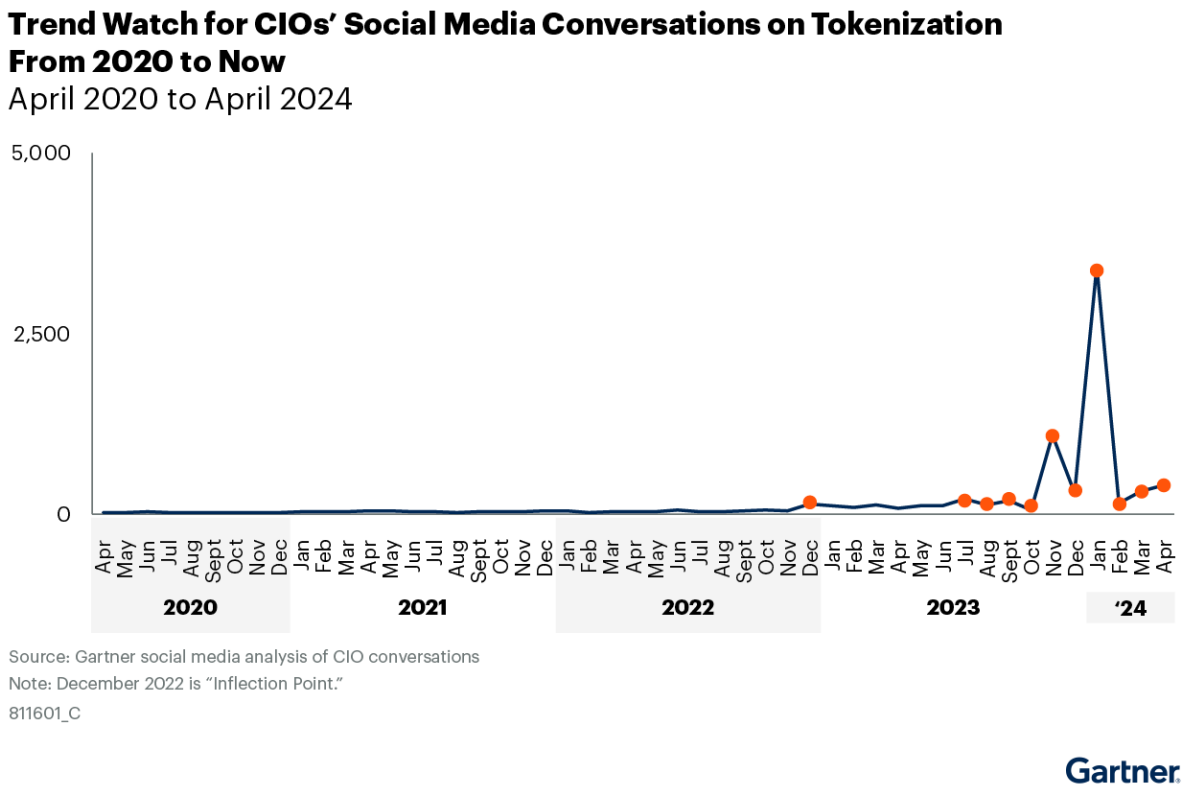
Tokenization, by definition, refers to a process by which a piece of sensitive data, such as an identification number, is replaced by a surrogate value known as a token.

This research note is restricted to the personal use of 288048F@curtin.edu.au.

According to our social media analysis of conversations by CIOs, [1] tokenization spiked in January 2024 due to continued data security concerns and in hopes of potential integration with blockchain and DeFi (see Figure 1). CIOs are interested in exploring the potential of emerging technologies such as blockchain and DeFi, and how tokenization can be integrated to enhance security and possibly enable new business models. Note in these use cases, a token is treated as a unit of economic value represented digitally and recorded on an immutable medium such as a blockchain ledger.

Compliance with regulations such as the General Data Protection Regulation (GDPR) in the EU and the California Consumer Privacy Act (CCPA) can be optimized by minimizing the storage and data processing of sensitive information with data tokenization.

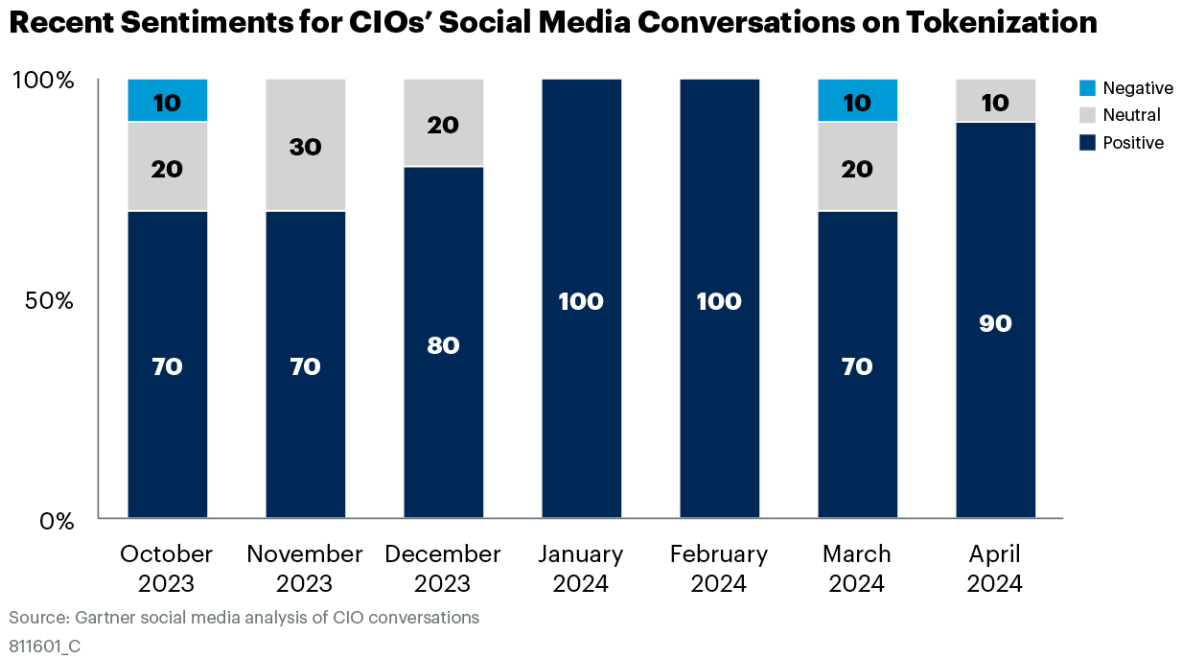
Figure 1: Social Media Conversations by CIOs on Tokenization



In January and February 2024, tokenization showed a 100% positive sentiment in social media conversations by CIOs (see Figure 2). Sentiment was derived by counting the positive, neutral and negative messages from CIOs in social media. A message has a positive sentiment if the number of positive-tone words exceeds the number of negative-tone words. If they are equal, the message has a neutral sentiment. The overall positive sentiment continues beyond February 2024.

This research note is restricted to the personal use of 288048F@curtin.edu.au.

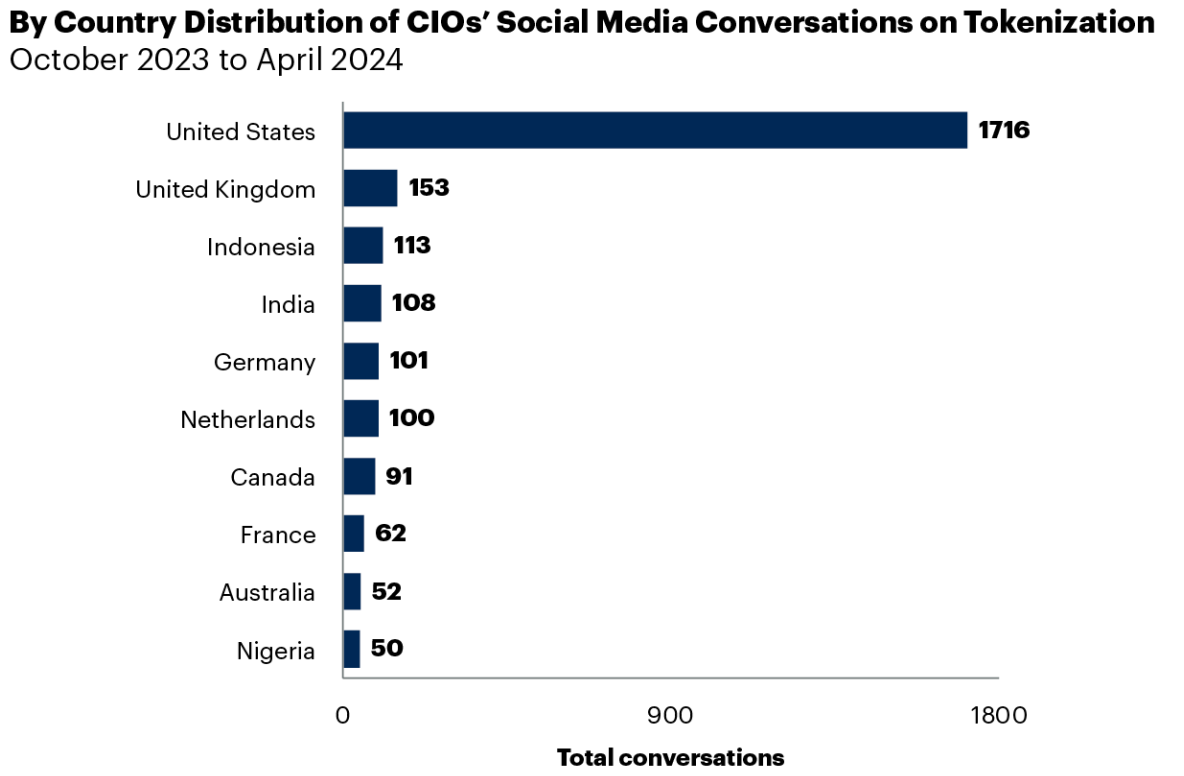
Figure 2: Recent Sentiments for Social Media Conversations by CIOs on Tokenization



Social media conversations by CIOs surrounding tokenization are not limited to the U.S. and the EU. In fact, Indonesia had the third largest number of CIO conversations, followed by India (see Figure 3). The Reserve Bank of India (RBI), for example, is planning tokenization of assets and government bonds under the wholesale Central Bank Digital Currency (CBDC) Pilot Project. [2] So the popularity of tokenization is spreading across the globe.

This research note is restricted to the personal use of 288048F@curtin.edu.au.

Figure 3: Country Distribution of Social Media Conversations by CIOs on Tokenization



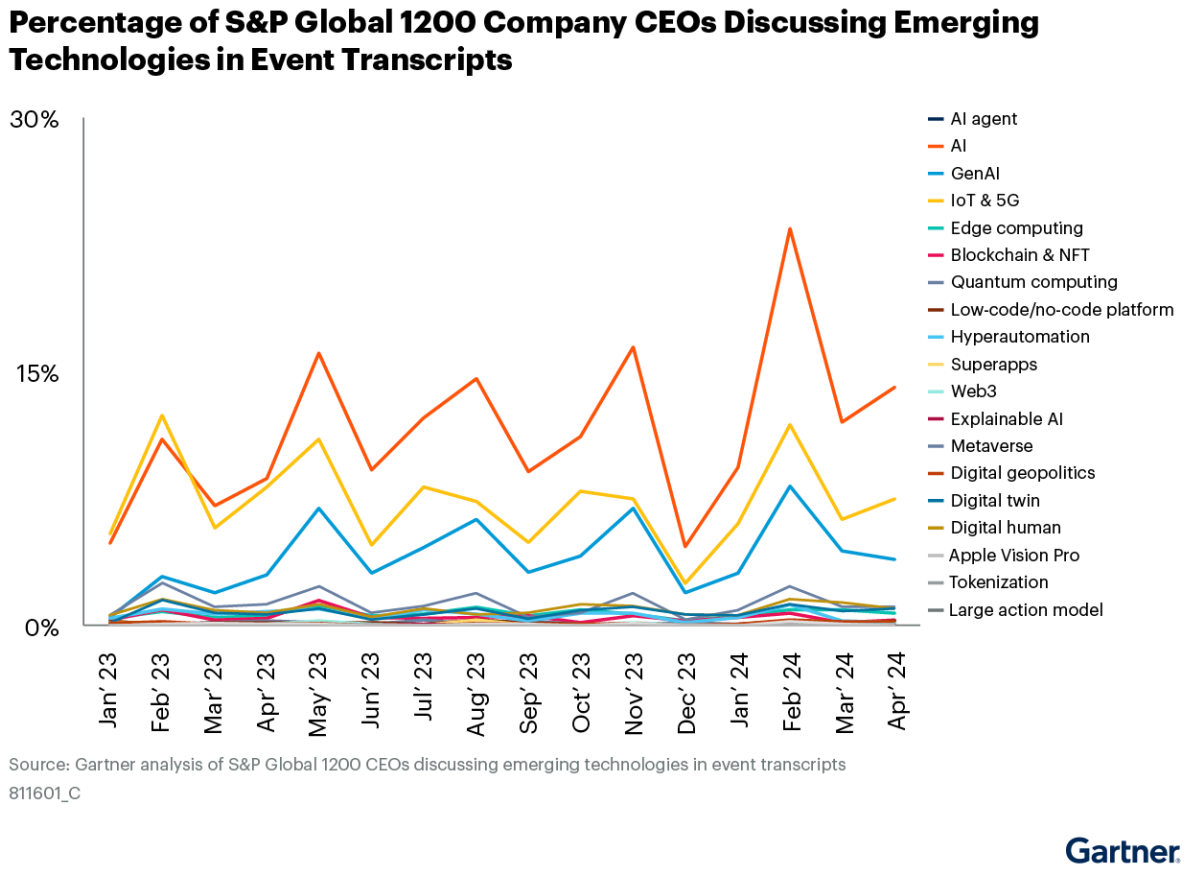
Source: Gartner social media analysis of CIO conversations
811601_C

Gartner

However, tokenization has not yet reached the CEOs. Our ongoing watch of event transcripts by the CEOs of S&P Global 1200 companies shows no significant changes for tokenization in 2024 to April (see Figure 4). Event transcripts include shareholder meetings, conference presentations, sales and trade statement calls, fixed income calls, situation calls, and interim calls.

This research note is restricted to the personal use of 288048F@curtin.edu.au.

Figure 4: S&P Global 1200 Companies CEO Event Transcripts



Growth in tokenization has significant impacts in broad areas such as finance and retail. We urge executive leaders to closely follow the development of this emerging technology, including the various use cases coming from different industry working groups (see Emerging Tech: Top Use Cases in Blockchain-Based Tokenization).

Data tokenization helps organizations, especially in finance and healthcare, comply with data privacy regulations by reducing the amount of sensitive data stored and processed. This helps ensure customer data is protected, and avoids hefty fines and legal consequences.

Security tokenization could become the future-proof solution for data security, reducing the transmission of raw, identifiable data. By design, tokenization replaces sensitive data with unique tokens that have no meaningful value or correlation to the original data. This ensures that even if the tokens are intercepted or compromised, they cannot be reverse-engineered to retrieve the original data. Sensitive data is securely stored in a separate location, minimizing data exposure and reducing the risk of unauthorized access, while providing increased scalability and flexibility with full traceability.

This research note is restricted to the personal use of 288048F@curtin.edu.au.

Blackrock and Securitize recently partnered to tokenize $10 trillion of assets, and the growth of Blackrock's BUIDL, a blockchain-based token representing U.S. Treasury bills, further built credibility for a more tokenized U.S. Treasury market. HSBC, JPMorgan and Citigroup are among the financial services firms seeking to leverage this technology for increased efficiency and liquidity. [3]

Finally, recent development points to tokenization allowing real-world assets like real estate to potentially become more decentralized by diminishing market barriers and augmenting liquidity (see AI and Blockchain Tokens Can Revolutionize Commercial Real Estate).

Thus, executive leaders should watch blockchain-enabled tokenization, smart contracts and DeFi use cases underway to improve property records management, reduce the cost of property transactions and support the trading of digital tokens to have an intelligent conversation with their CEOs for applicability in their respective industries (see How Tokenization and Fractionalization Drive Financial Services Innovations).

Limit Risks of Tokenization

Tokenization also comes with risks. The riskiest environments are those that are centralized, versus those that are decentralized, due to creating a single point of failure and the need for a central authority of token exchange that may be compromised. If the central authority is compromised, all the tokens and associated assets can be at risk. Also of concern is regulatory compliance, especially in financial services, but also in other industries such as healthcare (see Emerging Tech: Adoption Trends and Challenges With Blockchain Technology).

Note that decentralized environments are not necessarily secure, either. It depends on who controls and/or operates the nodes, and how they are governed. The network may be decentralized, but the custody can be centralized, negating some of the security benefits of decentralization. Paypal ID tokens, for example, will not be decentralized and will be governed centrally by Paypal.

The regulatory landscape for tokenization is evolving rapidly, and changes in regulations can significantly impact token projects. Uncertainties regarding future regulations and their implications can create risks for token issuers and investors. Unlike traditional financial markets, monetary tokenization often lacks investor protection mechanisms such as regulatory oversight, insurance or dispute resolution mechanisms. This exposes investors to higher levels of risk and potential fraud.

This research note is restricted to the personal use of 288048F@curtin.edu.au.

Money tokens are often subject to significant price volatility, which can lead to substantial losses for investors. The lack of liquidity in most token markets can exacerbate this risk, making it difficult to sell tokens at desired prices. If a token fails to gain traction or attract sufficient demand, it can result in illiquidity and difficulty in selling or trading the tokens.

Tokenization use cases such as fractional real estate or intellectual property ownerships rely heavily on blockchain technology, which is not immune to security breaches and hacking attempts. If the underlying wallets or exchanges are compromised, tokens can be lost or stolen, leading to financial losses for token holders.

Finally, even though some protections exist for data/ID tokens for payments, tokenization involves multiple parties such as token issuers, exchanges, custodians and wallet providers. Any operational failures, mismanagement or fraud by these parties can result in financial losses for token holders. Therefore, executive leaders should pay attention to the security level in use for the trading of digital tokens to create more transparent, liquid, secure and intelligent data exchange marketplaces that integrate with a wider range of ecosystem partners to limit risks.

Contributors

Chetanya Gupta, Aashika Jain, Simar Madhok, Swarnima Pandey, Ayush Saxena, Nikhil Sukhwani

Evidence

[1] Emerging Technology Trend Tracking, 27 October 2023.

The content provides the percentage of S&P 1200 Companies' CEOs Discussing Emerging Technologies in Event Transcripts (monthly throughout 2023). It also contains key innovation use cases of 14 emerging technologies for 2023.

[2] RBI Plans Tokenisation of Assets, Bonds Under Wholesale CBDC Pilot, Business Standard.

[3] Tokenization of Real-World Assets: The Tech Trend Reshaping Investment Landscapes, ComplexDiscovery.

Recommended by the Authors

Some documents may not be available as part of your current Gartner subscription.

This research note is restricted to the personal use of 288048F@curtin.edu.au.

Catch the Next Emerging Technologies to Go Viral

Define and Map Cryptocurrencies, Digital Currencies and NFTs to Future-Proof Your Digital Transformation

Emerging Tech: Top Use Cases in Blockchain-Based Tokenization

How Tokenization and Fractionalization Drive Financial Services Innovations

Emerging Tech: Adoption Trends and Challenges With Blockchain Technology

---

© 2025 Gartner, Inc. and/or its affiliates. All rights reserved. Gartner is a registered trademark of Gartner, Inc. and its affiliates. This publication may not be reproduced or distributed in any form without Gartner's prior written permission. It consists of the opinions of Gartner's research organization, which should not be construed as statements of fact. While the information contained in this publication has been obtained from sources believed to be reliable, Gartner disclaims all warranties as to the accuracy, completeness or adequacy of such information. Although Gartner research may address legal and financial issues, Gartner does not provide legal or investment advice and its research should not be construed or used as such. Your access and use of this publication are governed by Gartner's Usage Policy. Gartner prides itself on its reputation for independence and objectivity. Its research is produced independently by its research organization without input or influence from any third party. For further information, see "Guiding Principles on Independence and Objectivity." Gartner research may not be used as input into or for the training or development of generative artificial intelligence, machine learning, algorithms, software, or related technologies.

This research note is restricted to the personal use of 288048F@curtin.edu.au.